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TENTATIVE RULING

August 7, 2026

22SMCV02062 (Findel v. Koral, et.
al.)

RELEVANT BACKGROUND

On October 24, 2022,
plaintiff Jeremy Findel (Plaintiff) filed his initial complaint. Plaintiff
filed his first amended complaint on May 17, 2023, and his second amended
complaint on November 9, 2023.

Plaintiff alleges seven
causes of action against numerous defendants (1) Intentional Violation of
Uniform Voidable Transactions Act, Cal. Civ. Code §§ 3439 et seq.; (2)
Constructive Violation of Uniform Voidable Transactions Act, Cal. Civ. Code §§
3439 et seq.; (3) Common Law Fraudulent Transfer; (4) Aiding and Abetting; (5)
Civil Conspiracy; (6) Imposition of a Constructive Trust; and (7) Violation of
Cal. Bus. Prof. Code §§ 17200, et seq. (UCL). Relevant to the instant motion, Plaintiff
alleges the first, second, third, fifth, sixth, and seventh causes of action
against the moving defendant, Peter Koral (Defendant or Koral).

In April 2013, Koral and
Alberto Daniel Driz (Driz) entered into the LA Metro Blaze Pizza Holding Co.
LLC (LA Metro) Operating Agreement (the Operating Agreement). (UMF No. 1.)
Under the terms of the Operating Agreement, Koral owned 51 % of LA Metro and

Driz owned 49% between April 3, 2013, and December 22, 2016. (UMF 2.)

Under the terms of the

Operating Agreement, distributions, if they occurred, were to be paid out first to satisfy loans from Members to LA Metro, then to satisfy Net Capital Contributions from Members to LA Metro, then to the Members in accordance with their percentage interests. (UMF 3.) Proceeds of a liquidation sale, if one occurred, were to be paid out first to creditors in order of priority, except to Members on account of their contributions, then to payment of loans or advances that may have been made by Members or their principals for working capital or other LLC requirements, and then to the Members in accordance with the positive balances in their capital accounts after adjustments for all allocations of net profits and net loss. (UMF 4.)

LA Metro's average

annual losses from 2014 to the end of 2016 exceeded \$1,000,000. (UMF No. 5). LA Metro's average annual losses from the end of 2016 to the end of 2022 exceeded \$1,000,000. (UMF No. 6). From its inception to the end of 2015, LA Metro never paid, in any amount, distributions to its members but for one \$44,724 distribution to Korl. (UMF No. 7). From the end of 2015 to the end of 2022, LA Metro never paid, in any amount, distributions to its members. (UMF No. 8).

Korl made over six

million dollars in capital contributions to LA Metro from LA Metro's inception to the end of 2022 in order to keep LA Metro in business. (UMF No. 9). Additionally, LA Metro borrowed two million dollars (\$2,000,000.00) from UMB Bank, N.A. in order to fund operations. (UMF No. 10).

On December 23, 2016,

Driz resigned as the managing member of LA Metro's eleven Blaze Franchise locations and transferred his entire interest in LA Metro to Korl. (AMF 3-4.)

INSTANT MOTION

On June 16, 2026, Defendant filed the instant motion for summary judgment or adjudication of the first, second, third, sixth, fifth, and seventh causes of action. Plaintiff filed an opposition, and Defendant filed a reply.

REQUEST FOR JUDICIAL

NOTICE

Plaintiff's request for judicial notice of the court order in *Anne Greene, et al. v. Peter Koral, et al.* (Case No. 23STCV24928) is granted. (RJN, Ex. 1.)

EVIDENTIARY OBJECTIONS

Plaintiff's evidentiary objections Nos. 1-13 are overruled.

DISCUSSION

I.

MOTION FOR SUMMARY JUDGMENT

Here, Defendant argues that (1) Plaintiff's claims for fraudulent conveyance fail because no triable issue of material fact exists showing that Plaintiff has been damaged by Defendants' conduct; and (2) the remaining causes of action for civil conspiracy, constructive trust, and unlawful business practices fail as well because they each require an independent civil wrong or damages. The Court agrees.

A.

Fraudulent

Conveyance – First, Second, and Third Causes of Action

"A fraudulent conveyance is "a transfer by the debtor of property to a third person undertaken with the intent to prevent a creditor from reaching that interest to satisfy its claim." (*Nautilus, Inc. v. Yang* (2017) 11 Cal.App.5th 33, 39.)

The Uniform Fraudulent Transfer Act

(UFTA) codified in Civil Code 3239.01(a) provides "(a) A transfer made or obligation incurred by a debtor is voidable as to a creditor, whether the creditor's claim arose before or after the transfer was made or the obligation was incurred, if the debtor made the transfer or incurred the obligation as follows: [¶] (1) With actual intent to hinder, delay, or defraud any creditor of the debtor. [¶] (2) Without receiving a reasonably equivalent value in exchange for the transfer or obligation, and the debtor either: [¶] (A) Was

engaged or was about to engage in a business or a transaction for which the remaining assets of the debtor were unreasonably small in relation to the business or transaction. [¶] (B) Intended to incur, or believed or reasonably should have believed that the debtor would incur, debts beyond the debtor's ability to pay as they became due.” (Cal. Civ. Code § 3439.04, subd. (a); *Annod Corp. v. Hamilton & Samuels* (2002) 100 Cal.App.4th 1286, 1294.)

“The UVTA, formerly known as the Uniform Fraudulent Transfer Act [citation] permits defrauded creditors to reach property in the hands of a transferee.” (*Lo v. Lee* (2018) 24 Cal.App.5th 1065, 1071.) “A creditor may set aside a transfer as fraudulent under Civil Code section 3439.04 by showing actual fraud as defined in subdivision (a)(1) or by showing constructive fraud as defined in subdivision (a)(2).” (*Chen v. Berenjian* (2019) 33 Cal.App.5th 811, 817.) “As a remedy, the creditor may obtain avoidance of the transfer, an attachment or other provisional remedy, and, subject to applicable principles and rules, an injunction or a receiver.” (*Ibid.*; see also Civ. Code, § 3439.07, subd. (a).)

To the extent a transfer is avoidable in an action by a creditor under paragraph (1) of subdivision (a) of Section 3439.07 [Avoidance of the transfer or obligation to the extent necessary to satisfy the creditor's claim], the following rules apply: [¶] (1) Except as otherwise provided in this section, the creditor may recover judgment for the value of the asset transferred, as adjusted under subdivision (c), or the amount necessary to satisfy the creditor's claim, whichever is less. The judgment may be entered against the following: (A) The first transferee of the asset or the person for whose benefit the transfer was made . . .

(Civ. Code, § 3439.08, subd. (b).)

Civ. Code section 3439.08, subdivision (c) provides that, if “the judgment under subdivision (b) is based upon the value of the asset transferred, the judgment shall be for an amount equal to the value of the asset at the time of the transfer, subject to adjustment as the equities may require.” (Civ. Code, § 3439.08, subd. (c).)

“A transfer in fraud of creditors may be attacked only by one who is injured thereby. Mere intent to delay or defraud is not sufficient; injury to the

creditor must be shown affirmatively. In other words, prejudice to the plaintiff is essential. It cannot be said that a creditor has been injured unless the transfer puts beyond [her] reach property [she] otherwise would be able to subject to the payment of [her] debt." (Mehrtash v. Mehrtash (2001) 93 Cal.App.4th 75, 80 [plaintiff could not show damage resulting from the transfer because the existing encumbrances and senior liens were worth more than the property and would not yield a net recovery], citing Bennett v. Paulson (1935) 7 Cal.App.2d 120, 123 and Haskins v. Certified Escrow & Mtge. Co. (1950) 96 Cal.App.2d 688, 691; see also Fidelity National Title Ins. Co. v. Schroeder (2009) 179 Cal.App.4th 845.)

Here, Defendant argues that Plaintiff cannot show that he was damaged by the transfer because, at the time of Koral's acquisition of Driz's 49% interest in LA Metro, the value of the Driz shares was zero. (UMF 3-10). Defendant relies on Mehrtash, 93 Cal.App.4th at 80, Bennett, 7 Cal.App.3d 120, and Fidelity, 179 Cal.App.4th 834. The Court agrees with Defendant and finds these cases to be on point and is not persuaded by Plaintiff's attempts to distinguish them.

In Bennett, judgment debtor Paulson sold an interest in a partnership to defendant Boudoures. (Bennett, 7 Cal.App.3d at 121.) Plaintiff and judgment creditor Bennett sued under a fraudulent conveyance theory. (Ibid.) The trial court found for Boudoures and adjudged that no fraudulent conveyance had occurred. (Id. at 122.) Bennett, appealing, argued that the evidence in the case was insufficient to sustain the findings of the trial court on multiple grounds; the Court of Appeal upheld the trial court's finding on the sole ground that Plaintiff was not able to show, from the evidence, that he had been injured by the transfer. (Id. at 123.) The Court reasoned that, since the financial information of the partnership showed that it was in dire financial straits and had more liabilities than assets on the books, the shares were worthless and thus no damages resulted from the transfer, even if it had been fraudulent. (Id.)

Much as in Bennett, here Defendant has shown that Plaintiff was not injured as a result of the transfer of shares in LA Metro from Driz to Koral because, at the time of Koral's acquisition of Driz's 49% interest in LA Metro, the value was zero. (UMF 3-10.) Between its inception and the date of the transfer of the Driz Shares, LA Metro lost on average in excess of \$1,000,000 annually. (UMF No. 5.) From the date of the transfer to the end of 2022, LA Metro lost on average in excess of \$1,000,000 annually. (UMF No. 6.) Defendant

correctly argues that, since the Driz Shares were worthless at the time of the allegedly fraudulent transfer, Plaintiff cannot show an injury resulting from the transfer.

Moreover, Defendant correctly argues that, even if Plaintiff made a showing that the Driz Shares had any value, Plaintiff would need to show that he would be able to secure a net recovery in the event that the alleged fraudulent transfer were set aside, citing *Fidelity*, 179 Cal.App.4th 834.

In *Fidelity*, the Court looked to whether a “net recovery” of the allegedly fraudulently transferred interest was possible. (*Id.* at p. 842.) The *Fidelity* court stated, “we reject *Fidelity*’s position that the injury element may be determined based on speculation about possible future appreciation of the property.” (*Id.* at p. 845.) Similarly, here, Plaintiff cannot establish injury based on speculation about possible future appreciation.

Additionally, as Defendant points out, Corporations Code section 17705.03 provides “the exclusive remedy by which a person seeking to enforce a judgment against a member or transferee may, in the capacity of a judgment creditor, satisfy the judgment from the judgment debtor’s transferable interest.” (Cal Corp. Code § 17705.03(f).) A court issues a “charging order” which entitles the judgment creditor to “a lien on the judgment debtor’s transferable interest and requires the limited liability company to pay over to the person to which the charging order was issued any distribution which would otherwise be paid to the judgment debtor.” (Cal Corp. Code § 17705.03(a).) If, upon a showing by the judgment creditor that the distributions will not pay the judgment debt within a reasonable time, then a judgment creditor may move the court to order the sale of the transferable interest. (Cal Corp. Code § 17705.03(b)(3).)

Additionally, under the applicable Corporations Code sections, a judgment creditor is entitled only to distributions, and the Operating Agreement of LA Metro provides that minority members may expect only distributions, as they have no power to wind up the LLC. (Corp. Code §§ 17705.03, 17705.03; UMF 3; Ex. A.) Defendant highlights that, had the shares never been transferred, Plaintiff would have had to seek, as his sole and exclusive remedy, a charging order. (Corp. Code § 17705.03.) Assuming he was granted it, Plaintiff would have been entitled only to be paid “any distribution that would otherwise

be paid to the judgment debtor.” (Corp. Code § 17705.03(a).) Had the 49% interest been sold, then its buyer would still have to abide by the distribution provision, as it is the only way a minority owner of LA Metro who had no dissolution rights could have been paid out any money. (See UMF No. 3). Plaintiff fails to adequately address Defendant’s argument that the only way the holder of the Driz shares could profit was if LA Metro undertook distributions, as codified in the waterfall provision in the Operating Agreement.

Plaintiff argues that, using the correct legal and economic calculation methods, evidence in the record of the case shows that the assets were of great value to Driz. But Plaintiff’s expert, Dr. Goedde, confirms that LA Metro was not worth enough for the holder of the 49% interest at issue to ever expect to receive a distribution. Even when taking the highest number [\$5,708,000.00] opined by Dr. Goedde to be the value of 100% of LA Metro, Plaintiff has not shown that LA Metro was valuable enough to be able to pay off its debt and pay off Koral’s capital contributions in full, as required by the distribution provision in the Operating Agreement and still have any money left to pay out distributions to the holder of the 49% interest. Again, LA Metro had \$2,000,000.00 in bank debt at the time of the transaction. (UMF No. 10.)

Koral had contributed over \$6,100,000.00 in capital to LA Metro at the time of the transaction. (UMF No. 9.) The bank debt and Koral’s capital contribution would have to be paid out in order for the holder of the 49% interest to see a single penny, yet there is a deficit of over \$2,400,000.00 between the actual, high-end estimate of LA Metro offered by Plaintiff’s expert [\$5,708,000.00] and the amount [roughly \$8,100,000.00] that would have to be reached before the 49% interest owner could receive a distribution.

The Court notes that the very brief Superior Court Order in Greene (Plaintiff’s RJN, Ex. 1) is neither controlling nor persuasive.

Based

on the foregoing, the Court finds that Defendant has satisfied his burden as the moving party, and Plaintiff has failed to meet his responsive burden. No triable issue of material fact exists showing that Plaintiff has been damaged by Defendant’s conduct.

B. Civil Conspiracy, Constructive

Trust, and UCL – Fifth, Sixth, and Seventh Cause of Action

The elements of conspiracy are: (1)

Defendants' agreement to the objective and course of action to injure; (2) wrongful act pursuant to such agreement; and (3) resulting damage. (Berg & Berg Ent., LLC v. Sherwood Partners, Inc. (2005) 131 Cal.App.4th 802, 823.)

Civil Code section 2223 provides,

“One who wrongfully detains a thing is an involuntary trustee thereof, for the benefit of the owner.” (Civ. Code §2223.) Civil Code §2224 provides, “One who gains a thing by fraud, accident, mistake, undue influence, the violation of a trust, or other wrongful act, is, unless he or she has some other and better right thereto, an involuntary trustee of the thing gained, for the benefit of the person who would otherwise have had it.” (Civ. Code, § 2224.)

“[In] order to create a constructive trust as defined in [Civ. Code] section 2224, three conditions must be satisfied: the existence of a res (property or some interest in the property); the plaintiff's right to that res; and the defendant's acquisition of the res by some wrongful act.” (Optional Capital, Inc. v. DAS Corp. (2014) 222 Cal.App.4th 1388, 1402.)

“A constructive trust is not a true trust but an equitable remedy available to a plaintiff seeking the recovery of specific property in a number of widely differing situations. The cause of action is not based on the establishment of a trust, but consists of the fraud, breach of fiduciary duty, or other act that entitles the plaintiff to some relief. That relief, in a proper case, may be to make the defendant a constructive trustee with a duty to transfer the property to the plaintiff.” (5 Witkin, Cal. Proc. (6th ed. 2022) Plead §836.)

The UCL defines “unfair competition” to include “any unlawful, unfair or fraudulent business act or practice.” (De La Torre v. CashCall, Inc. (2018) 5 Cal.5th 966, 974.) “Because Business and Professions Code section 17200 is written in the disjunctive, it establishes three varieties of unfair competition—acts or practices which are unlawful, or unfair, or fraudulent.” (Beasley v. Tootsie Roll Industries, Inc. (2022) 85 Cal.App.5th 901, 911, review denied (Mar. 15, 2023).) “To prevail on a claim under the unlawful prong of the unfair competition law, the plaintiff must show

that a challenged advertisement or practice violates any federal or California 'statute or regulation." (Id., at p. 912.)

Here, Defendant argues that Plaintiff cannot maintain any of his other causes of action if his claims for fraudulent conveyance are dismissed, as each of the remaining causes of action require an independent civil wrong and/or damages, citing *Monastra v. Konica Business Machines, U.S.A., Inc.* (1996) 43 Cal.App.4th 1628, 1645 ("Standing alone, a conspiracy does no harm and engenders no liability; it must be activated by the commission of an actual civil wrong."); *Optional Capital, Inc. v. DAS Corp* (2014) 222 Cal.App.4th 1388, 1402 (holding that the imposition of a constructive trust requires a showing that a defendant acquired property "by some wrongful act."); *Saunders v. Superior Court* (1994) 27 Cal.App.4th 832, 838-39 ("The 'unlawful' practices prohibited by section 17200 are any practices forbidden by law...").) The Court agrees.

Based on the foregoing, the Court finds that the remaining causes of action for civil conspiracy, constructive trust, and unlawful business practices also fail because each cause of action requires an independent civil wrong or damages.

Accordingly, Defendant Koral's motion for summary judgment is GRANTED.